

Finance

Question Booklet

Past HSC and trial questions from your Drive, screenshotted exactly as they appeared in the original papers.

SECTION	QUESTIONS			
Section A — Multiple choice	Q1–18	18 questions	18 marks	p. 2
Section B — Short answer	Q19–46	28 questions	95 marks	p. 9
Section C — 20-mark questions	Q47–48	2 questions	40 marks	p. 27

How to use this booklet

1. **Section A** – multiple choice: circle one answer (about 1.5 min each).
2. **Section B** – short answers. Each question shows the paper it came from and its marks, and has the same number of writing lines as the original paper (about 1.8 min per mark).
3. **Section C** – the 20-mark questions are on the last pages: plan in the box, then write in full on separate paper.
4. Check your answers in the matching **Answer Booklet** – question numbers are identical.

Section A — Multiple choice

Circle the best answer. About 1.5 minutes each. A calculator is allowed.

Q1 Roseville Trial 2024 · Q4

- 4 Liquidity is
- (A) the ability of a business to minimise costs.
 - (B) the ability for a business to increase in size over the longer term.
 - (C) the extent to which a business can meet its financial commitments in the short term (less than 12 months).
 - (D) the extent to which a business can meet its financial commitments in the long term (more than 12 months).
-

Q2 Reddam Trial 2023 · Q4

4. Which of the following can improve the solvency of a company?
- (A) Obtaining a mortgage to purchase property
 - (B) Issuing commercial bills to raise working capital
 - (C) Organising rights issues to existing shareholders
 - (D) Extending the credit terms for customers
-

Q3 Abbotsleigh Trial 2024 · Q3

3. A business is offering existing shareholders the opportunity to purchase more shares at a discount.

This is known as what type of equity finance?

- a) New issues
 - b) Existing issues
 - c) Placement plans
 - d) Share purchase plans
-

Q4 Roseville Trial 2024 · Q20

- 20** Which of the following best describes the difference between a rights issue and a share purchase plan?
- (A) A rights issue allows anyone to purchase additional shares at a discount, while a share purchase plan is only available to existing shareholders.
 - (B) A rights issue provides existing shareholders the opportunity to purchase additional shares in proportion to their current holdings, whilst a share purchase plan allows existing shareholders to buy shares without proportional restrictions.
 - (C) A rights issue raises capital by selling new shares to institutional investors, while a share purchase plan raises capital by selling shares to retail investors.
 - (D) A rights issue typically involves issuing new shares at a premium, whereas a share purchase plan offers new shares at market price.
-

Q5 SIC Trial 2024 · Q12

- 12** Which of the following is correct for a unit trust?
- A. Investors buy direct from ASX
 - B. Investor funds are pooled and distributed upon retirement.
 - C. They are only for investment by sophisticated investors
 - D. Investor funds are pooled, and assets purchased on their behalf.
-

Q6 2019 HSC · Q16

- 16** Which independent federal body ensures that businesses adhere to government regulations, maintain appropriate financial information and provide consumer protection?
- A. Reserve Bank of Australia
 - B. Australian Securities Exchange
 - C. Australian Prudential Regulation Authority
 - D. Australian Securities and Investment Commission
-

Q7 2022 HSC · Q13

- 13** Which combination of global market influences would support a business's decision to expand globally?
- A. A depressed economic outlook and low interest rates
 - B. A depressed economic outlook and high interest rates
 - C. An improved economic outlook and low interest rates
 - D. An improved economic outlook and high interest rates
-

Q8 2019 HSC · Q14

- 14** Which of the following is the correct order for financial planning?
- A. Developing budgets, determining financial needs, maintaining record systems, identifying financial risks, establishing financial controls
 - B. Determining financial needs, establishing financial controls, identifying financial risks, maintaining record systems, developing budgets
 - C. Determining financial needs, developing budgets, maintaining record systems, identifying financial risks, establishing financial controls
 - D. Developing budgets, maintaining record systems, identifying financial risks, establishing financial controls, determining financial needs
-

Q9 Newington Trial 2023 · Q4

- 4.** Which of the following provides a snapshot of a company's financial position at a given point of time?
- A. Income statement
 - B. Cash flow statement
 - C. Balance sheet
 - D. Break even analysis
-

15 Use the information to answer Question 15.

Balance sheet as at 30 June 2019

	(\$)		(\$)
<i>Current assets</i>		<i>Current liabilities</i>	
Cash	10 000	Accounts payable	10 000
Accounts receivable	5 000	Overdraft	5 000
Stock	8 000		
<i>Non-current assets</i>		<i>Non-current liabilities</i>	
Plant and equipment	35 000	Mortgage	135 000
Land and buildings	292 000		
		<i>Total equity</i>	
		Capital	184 000
		Net profit	16 000
	350 000		350 000

What is the gearing ratio (total liabilities ÷ total equity) for this business?

- A. 0.67 : 1
- B. 0.73 : 1
- C. 0.75 : 1
- D. 0.81 : 1

Use the following information to answer Questions 19 and 20.

Extract from balance sheet for a business as at June 2020

	(\$)
Current assets	1700
Non-current assets	8650
Current liabilities	1100
Non-current liabilities	6500
Additional information	
<i>Financial data 2019</i>	
Debt to equity ratio = 2 : 1 or 200%	
Current ratio = 1.25 : 1 or 125%	
<i>Industry averages for 2019–2020</i>	
Debt to equity ratio (total liabilities ÷ total equity) = 1 : 1 or 100%	
Current ratio (current assets ÷ current liabilities) = 2 : 1 or 200%	

- 19** The liquidity position of this business in 2020 indicates that it is
- A. better than the industry average and has improved since 2019.
 - B. better than the industry average and has worsened since 2019.
 - C. worse than the industry average and has improved since 2019.
 - D. worse than the industry average and has worsened since 2019.
-

Q12 2020 HSC · Q20

Use the following information to answer Questions 19 and 20.

Extract from balance sheet for a business as at June 2020

	(\$)
Current assets	1700
Non-current assets	8650
Current liabilities	1100
Non-current liabilities	6500
Additional information	
<i>Financial data 2019</i>	
Debt to equity ratio = 2 : 1 or 200%	
Current ratio = 1.25 : 1 or 125%	
<i>Industry averages for 2019–2020</i>	
Debt to equity ratio (total liabilities ÷ total equity) = 1 : 1 or 100%	
Current ratio (current assets ÷ current liabilities) = 2 : 1 or 200%	

- 20 The gearing for this business in 2020 indicates that it is
- A. better than the industry average and has improved since 2019.
 - B. better than the industry average and has worsened since 2019.
 - C. worse than the industry average and has improved since 2019.
 - D. worse than the industry average and has worsened since 2019.

Q13 2020 HSC · Q14

- 14 A hairdresser includes proceeds of the sale of salon equipment in the business's income statement.

Which limitation of financial reporting is evident?

- A. Timing issues
- B. Valuing assets
- C. Normalised earnings
- D. Capitalising expenses

Q14 Loreto Trial 2024 · Q11

11. John's hardware has decided to sell his accounts receivables to a factoring company.

What would be the purpose of this?

- a. To improve cash flow.
- b. To increase owner's equity.
- c. To decrease the value of current liabilities.
- d. To improve the profitability of the business.

Q15 2022 HSC · Q18

- 18 A business owns a \$2 million building with a \$500 000 mortgage. They decide to sell the building and lease it back from the new owners over five years.

What is the likely purpose of this financial strategy?

- A. Reduce liquidity
- B. Reduce cash flow
- C. Improve profitability
- D. Improve working capital

Q16 Knox Trial 2023 · Q8

- 8 Which of the following correctly identifies a fixed and variable cost incurred by a business?

	Fixed	Variable
A.	Insurance	Raw materials
B.	Wages	Electricity
C.	Salaries	Insurance
D.	Raw materials	Rent

Q17 Barker Trial 2023 · Q7

- 7 An Australian manufacturing business exports products to Japan.

Which of the following best describes the impact of an appreciation in the value of the Australian dollar?

- A. There would be no effect on the Japanese business.
- B. Australian imports from Japan would become more expensive.
- C. Japanese businesses would find Australian products more affordable.
- D. Australian products would become more expensive for Japanese businesses.

Q18 Barker Trial 2023 · Q13

13. Globex Corp imports components for their production process from overseas.

Which of the following method of payment results in the most financial risk to Globex Corp?

- A. Payment in advance
- B. Clean payment
- C. Letter of credit
- D. Bill of exchange

Section B — Short answer

Write your answer on the lines. Aim for about 1.8 minutes per mark. A calculator is allowed.

Q19

2023 HSC · Question 24 (b)

3 marks

(b) Explain a possible conflict between ONE short-term and ONE long-term financial objective. 3

Q20

Barker Trial 2023 · Question 23 (c)

2 marks

(c) Why is efficiency a financial objective? 2

Simon's Sporting Goods Pty Ltd is a large sporting goods retailer. The following financial information relates to this business.

Balance Sheet for Simon's Sporting Goods Pty Ltd As at 30 June 2023			
ASSETS	'000s	LIABILITIES	'000s
Cash at bank	800	Accounts payable	1000
Inventories	300	Overdraft	300
Accounts receivable	800		
Plant & Equipment	500	Two-year bank loan	1500
Motor Vehicles	1200	Mortgage	3000
Land & Buildings	4000		
		OWNER'S EQUITY	
		Capital	1000
		Retained Profit	800
Other information Net profit for 2023 - \$300 000 Return on Equity (net profit ÷ total equity) for 2022 = 20% Industry Averages Debt to Equity (total liabilities ÷ total equity) = 2:1 Current Ratio (current assets ÷ current liabilities) = 1:1			

- (b) Using the financial information provided, explain why solvency is an important objective for this business.

4

Q22 2012 HSC Q22(d)

4 marks

- (d) Explain the interdependence of finance and operations in a business. Support your answer with relevant examples. **4**

Q23 Roseville Trial 2023 · Question 22 (a)

2 marks

- (a) Define retained profits. **2**

Q24 2019 HSC · Question 22 (c)

3 marks

- (c) Explain ONE disadvantage of equity financing. **3**

Balance Sheet for Local Grocer Pty Ltd June 2023			
Current Assets		Current Liabilities	
Cash	\$25 000	Accounts Payable	\$35 000
Accounts Receivable	\$45 000	Bank overdraft	\$65 000
Inventory	\$55 000		
Non-Current Assets		Non-Current Liabilities	
Building	\$400 000	Mortgage	\$225 000
Delivery van	\$50 000		
		Owners' Equity	
		Capital	\$200 000
		Retained Profit	\$50 000

Additional financial information:

Return on Owners' Equity ratio for 2022 = 0.1:1

- (d) Compare and contrast TWO sources of debt finance used by Local Grocer Pty Ltd.

4

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(b) Explain government influences on the financial management of businesses.

4

Food Plus Pty Ltd is a health food grocery store, operating successfully in NSW for the last 10 years. Management is now aiming to expand overseas by opening three stores in the USA in the next two years. There are a number of global market influences which Food Plus Pty Ltd needs to consider in relation to this global expansion.

(c) Explain TWO global influences on the financial management of this business.

4

- (b) Explain ONE advantage of debt financing.

3

Below is key financial information for manufacturing business. In the next 3 years the directors plan to invest \$10m into a new manufacturing facility.

	\$ (000)
Revenue	9 000
Accounts receivable	2 500
Cost of goods sold	3 600
Retained profit	1 400
Expenses	3 780

Industry Average:

- Gross Profit Ratio (gross profit ÷ sales) = 50%
- Net Profit Ratio (net profit ÷ sales) = 25%
- Expense Ratio (expense ÷ sales) = 45%

- (c) Describe the importance of the planning and implementing process for this business.

4

- (a) What is the purpose of a cash flow statement?

2

- (a) Distinguish between a balance sheet and an income statement.

2

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

- (a) Calculate the accounts receivable turnover ratio (sales ÷ accounts receivable) for this business.

1

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

(b) Interpret this business's expense ratio (total expenses ÷ sales).

2

A gifts and homewares business sells goods such as candles, bags, cushions, soaps and jewellery.

They have provided the following financial information.

	(\$)
Operating income (revenue)	1 500 000
Gross profit	1 100 000
Expenses	600 000
Total liabilities	2 000 000
Net profit	500 000
Owner's equity	1 800 000

The family-owned business is considering expansion by opening two new stores. Their bank has given approval to borrow \$3 000 000 at 4% interest to finance their expansion.

- (c) Why is the level of gearing an important consideration for the lender to this business? **3**

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

The table shows financial information for this Australian handbag business.

<i>Ratio</i>	<i>Current</i> (Before loan)	<i>Forecast</i> (12 months after loan)
Gross profit	65%	70%
Net profit	21%	18%
Debt to equity	0.85 : 1 or 85%	1.5 : 1 or 150%

- (c) Account for the changes in this business's current and forecast profitability and gearing. 5

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Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
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Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

- (d) Explain TWO ways in which comparative ratio analysis can be used by this business to assess its financial position. 4

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins or other markings on the paper.

Q37

2023 HSC · Question 24 (c)

5 marks

(c) Explain TWO limitations of financial reports.

5

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Q38

2019 HSC · Question 22 (a)

2 marks

(a) Outline ONE ethical issue related to the preparation of financial reports.

2

Financial Information for robotics company

	(\$)
Sales	225 000
Cost of goods sold	105 000
Selling expenses	8 500
Administration expenses	6 000
Financial expenses	4 000
Accounts receivable	30 000
Robotics company credit policy	30 days
Industry expense ratio	10%

- (c) Recommend ONE financial strategy this business could implement to improve efficiency in the collection of accounts receivable. **3**

- (c) Discuss *factoring* as a strategy for cash flow management. **4**

Financial information for Playsmart Child Care Ltd			
Current Assets	\$	Current Liabilities	\$
Cash	40 000	Accounts Payable	100 000
Accounts Receivable	100 000	Bank overdraft	130 000
Inventory	100 000		
Non-Current Assets		Non-Current Liabilities	
Building	320 000	Mortgage	300 000
Delivery van	40 000		
Goodwill	100 000	Owners' Equity	
		Capital	150 000
		Retained Profit	20 000

Additional information:

Debt to equity ratio: Total Liabilities ÷ Total Equity

Gearing industry average: 2:1

- (c) Analyse the use of sale and leaseback as a financial management strategy for this business.

5

Q44 2021 HSC · Question 22 (b)

3 marks

A luxury Australian handbag business is going to expand. They intend to borrow 30 million US dollars to buy several new retail properties across Australia.

- (b) Explain a financial risk associated with borrowing funds from the USA. **3**

Q45 2013 HSC Q24(b)

4 marks

An Australian-owned business manufactures bicycles in China and sells them to wholesalers in France. These wholesalers do not pay in advance.

- (b) How could this business protect itself against a change in the value of the Australian dollar relative to another currency? **4**

A business imports computers from China and sells them to customers in Australia.

- (b) Justify the method of payment that would be most effective in reducing the business's financial risk. 5

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Section C — 20-mark questions

A business report and an essay. Plan in the box, then write on separate paper (about 35 minutes each).

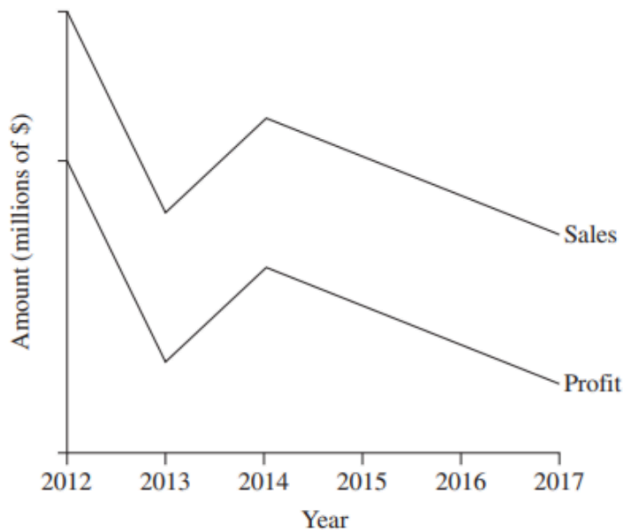
Q47 2017 HSC Q25

20 marks

Sportyz Goodz Ltd is a retailer that has been operating for the past 20 years in Australia. The directors have provided the following information:

- In 2013 the business issued new shares on the Australian Securities Exchange and expanded its retail activities internationally.
- The business is facing increasing competition.
- The directors are concerned about the positioning of their product in the market.
- The directors want the business to operate for the benefit of shareholders in the long term.

Financial data for Sportyz Goodz are shown on the graph.



The directors have asked you to write a business report in which you:

- outline ONE strategic role of financial management
- recommend TWO strategies to improve financial performance
- explain the importance of monitoring and controlling the business's marketing strategy.

PLAN**Thesis / judgement****Body 1****Body 2****Body 3****Case study evidence****Conclusion**

Write your full response on separate paper — about 35 minutes / 4 pages.

Evaluate the effectiveness of financial management strategies used to achieve profit and growth objectives.

PLAN

Thesis / judgement

Body 1

Body 2

Body 3

Case study evidence

Conclusion

Write your full response on separate paper — about 35 minutes / 4 pages.